

Multiple Choice (10 marks)

1. Suppose that the federal government reclassified the purchase of a new home as consumption spending rather than investment spending. This decision would
 - (a) increase aggregate demand and decrease real GDP.
 - (b) decrease aggregate demand and decrease real GDP.
 - (c) decrease aggregate demand and increase real GDP.
 - (d) have no impact on aggregate demand and real GDP.
2. In the equation of exchange
 - (a) M stands for the money supply and Q stands for quality.
 - (b) V stands for the velocity of GDP and Q stands for quality.
 - (c) P stands for the price level and Q stands for quarter.
 - (d) P stands for the price level and V stands for the velocity of money.
3. All else equal when the United States exports more goods and services
 - (a) the value of the dollar falls as the supply of dollars increases.
 - (b) the value of the dollar rises as demand for dollars increases.
 - (c) the value of the dollar falls as demand for dollars decreases.
 - (d) the value of the dollar rises as the supply of dollars increases.
4. Which of the following is an implicit cost for the owner of a small store in your hometown?
 - (a) The wage that is paid to the assistant manager
 - (b) The cost of purchasing canned goods from a wholesale food distributor
 - (c) The value placed on the owner's skills in an alternative career
 - (d) The cost of cooling the refrigerated meat display
5. Unlike a perfectly competitive firm, a monopoly
 - (a) will charge the highest price it can on the demand curve
 - (b) has a horizontal marginal revenue curve
 - (c) has an upward sloping total revenue curve
 - (d) faces a downward sloping demand curve

True / False (10 marks)

Answer True or False

6. True or False: If nominal GDP is 5000 and real GDP is 4000, the GDP Deflator equals 1.25.
7. True or False: Private industry can promote economic growth by offering products at artificially low prices, which can lead to unsustainable practices.
8. True or False: The natural rate of unemployment includes structural and frictional unemployment.
9. True or False: The supply curve for lawn-mowing services slopes upward because of decreasing marginal costs associated with service provision.
10. True or False: Consumers preferring larger automobiles has increased the demand for gasoline, leading to higher prices and consumption.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the implications of a trade surplus on a country's current-account and financial-account balances, and analyze how these accounts must adjust in the absence of statistical discrepancies.
12. Discuss how an increase in corporate optimism influences the demand for loanable funds and explain its potential effect on interest rates in the market.

End of Paper